

LEGAL GUIDE FOR FOREIGN INVESTORS

Investing in the Dominican Republic

2026 EDITION

What to know and verify before you invest, so your assets in the Dominican Republic are protected from the very first signature.

A safe investment starts before you sign

The Dominican Republic is enjoying the strongest period in its history as an investment destination. Every year more buyers, entrepreneurs and retirees discover a combination that is hard to find elsewhere: sustained growth, openness to foreign capital and an exceptional quality of life.

Experience has also taught us that the problems in an investment rarely appear on the day of the purchase. They surface years later, when a title carried a lien nobody checked, when a development lacked its full permits, or when a company was set up with a structure that did not match the investor's plans.

We prepared this guide so you can approach every decision with the right information. It does not replace advice on your specific situation, but it will help you ask the right questions and spot the warning signs in time.

Aileen Espinosa and Ellis Beato

Partners, Cabinet Legal

Contents

01 Why the Dominican Republic

02 Legal framework for foreign investors

03 Buying property step by step

04 Purchase costs and taxes

05 CONFOTUR incentives

06 Setting up a company

07 Residency by investment

08 Mistakes to avoid

09 Why Cabinet Legal

Why the Dominican Republic

The Dominican economy has been one of the fastest growing in Latin America over the past two decades. In 2025 the country set new records in both foreign investment and tourism, the two engines behind real estate demand.



Sources: Central Bank of the Dominican Republic (FDI 2025) and Ministry of Tourism (2025 arrivals).

Equal treatment

Law 16-95 grants foreign investors the same rights as Dominican nationals and guarantees the free repatriation of capital and profits.

No ownership restrictions

Foreigners may buy property in their own name or through a company, with no residency requirement and no need for a Dominican partner.

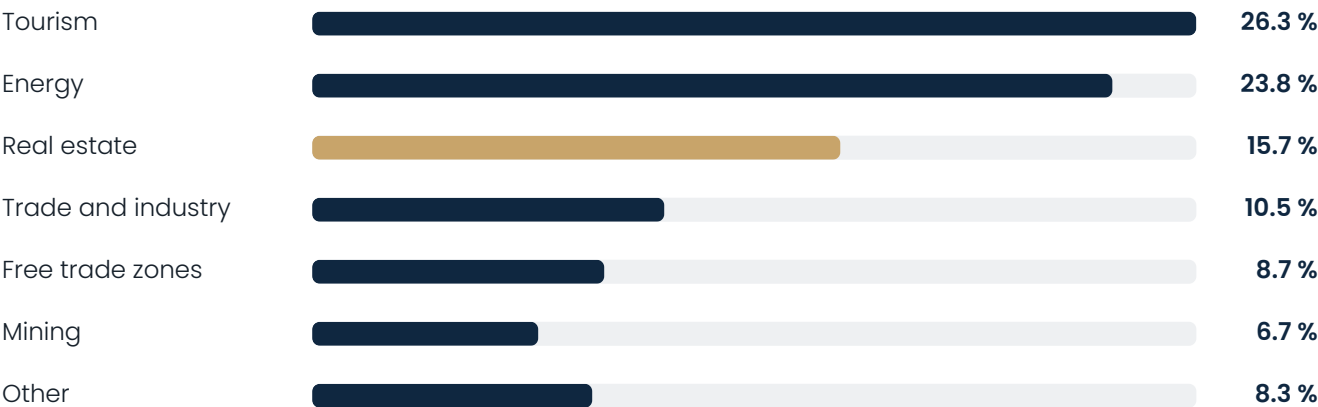
Registered titles

The system created by Real Estate Registry Law 108-05 backs ownership with a Certificate of Title issued by the State.

Tax incentives

Tourism projects classified under CONFOTUR offer exemptions that can make an investment considerably more profitable.

Where foreign investment went in 2025



The laws that protect your investment

Understanding the legal framework tells you what rights you have, what obligations you take on and which documents you should require in every transaction.

Law 16-95

FOREIGN INVESTMENT

Guarantees equal treatment and the free remittance of capital and profits. Registering the investment with ProDominicana is the basis for applying for investor residency.

Law 108-05

REAL ESTATE REGISTRY

Governs the Certificate of Title, surveys (deslindes) and the registration of rights. Anything not recorded at the Title Registry cannot be enforced against third parties.

Law 479-08

COMMERCIAL COMPANIES

Sets out the corporate forms (SRL, SA, SAS, EIRL), their capital requirements, management bodies and registration duties.

Law 189-11

MORTGAGE MARKET AND TRUSTS

Allows off-plan purchases through trusts that keep buyers' funds separate from the developer's own assets.

Law 158-01

TOURISM DEVELOPMENT (CONFOTUR)

Amended by Law 195-13. Grants tax exemptions to classified tourism projects and their first buyers.

Law 171-07

RETIREES AND RENTIERS

Offers immigration and tax benefits to foreigners who show stable income or pensions from abroad.



A practical warning: in the Dominican Republic, physical possession of a property is no substitute for title. Always check the legal status at the Title Registry before paying.

Buying property step by step

The process is safe when each step is carried out in the right order and with complete documentation. These are the stages of a well-structured purchase.

1

Offer and reservation

The price is agreed and a reservation agreement is signed. Before handing over money, confirm who the registered owner is and on what terms the deposit will be refunded.

2

Due diligence

Review of the Certificate of Title, legal status certificate, liens and encumbrances, survey and cadastral plan, property taxes, building permits and, for developments, the trust structure.

3

Contract

A promise of sale or purchase agreement setting out the price, payment schedule, delivery dates, penalties, guarantees and the condition that title is transferred free of liens.

4

Payment and signing

Payment is made through traceable bank channels. Signatures are certified by a notary. If you are abroad, you can sign through an apostilled power of attorney.

5

Taxes

The 3% transfer tax is assessed and paid at the tax authority (DGII), unless a CONFOTUR or other exemption applies.

6

Registration

The file is lodged with the Title Registry, which issues a new Certificate of Title in your name. Only then is the purchase complete.

Off-plan purchases

If you buy into a project under construction, find out who the trustee is, which licenses the project holds, how your payments are released and what happens if the works are delayed. All of this should be written into the contract.

Indicative timeline: 30 to 90 days from signing to the issue of the new title, depending on the Title Registry involved and the complexity of the file.

Purchase costs and taxes

Beyond the price, you should budget for taxes and closing costs. The figures below are the general rates in force in 2026; every transaction must be calculated individually.

ITEM	2026 REFERENCE
Transfer tax	3% of the higher of the contract price and the DGII appraisal. Paid by the buyer.
Real estate property tax (IPI)	1% per year on the value above RD\$10,695,494 (2026 threshold for individuals).
Mortgage registration	2% of the loan amount, when the purchase is financed with a mortgage.
Registry and notary fees	Title Registry charges, signature certification and apostilles. They vary with the value and type of deed.
Legal fees	Depending on the scope of work. At Cabinet Legal we quote a fixed fee before we start.

After the purchase

Rental income

Rental income is subject to income tax. If the tenant is a company, a withholding may apply.

Future sale

The gain on a sale is treated as a capital gain and taxed according to the seller's profile.

Retirees and rentiers

Law 171-07 provides benefits such as a transfer tax exemption on the first home and IPI reductions, subject to requirements.

Rates and thresholds as published by the Dominican tax authority (DGII). They may be updated; always confirm before closing.

CONFOTUR: buying with tax exemptions

Tourism Development Law 158-01, as amended by Law 195-13, attracts investment to tourist areas by granting tax exemptions to projects classified by the Tourism Promotion Council (CONFOTUR).

15

YEARS OF TAX BENEFITS

From the completion of construction, the first buyer of a classified unit can enjoy exemptions that significantly reduce the total cost of owning the property.

Transfer tax exemption

The first buyer of a unit in a classified project may be exempt from the 3% transfer tax.

IPI exemption

While the benefit is in force, the property does not pay the annual real estate property tax.

15-year term

Exemptions last 15 years from the completion of the project's construction and fit-out.

What you should verify

- ☐ That the project holds a valid classification resolution and that your unit is included.
- ☐ That you are the first buyer. Later resales do not automatically inherit the exemption.
- ☐ That the developer has met the construction start deadlines required by law.
- ☐ That the exemption is properly claimed and documented with the DGII at the time of transfer.

Setting up a company

A foreigner can be the sole or majority owner of a Dominican company. The choice of corporate form determines the owners' liability, the flexibility to bring in investors and the cost of compliance.

SRL

Limited liability company

The most common choice for small and mid-sized investments and for holding property. It requires at least two partners and is simple to manage.

SAS

Simplified stock company

Flexible internal organization, well suited to projects with several investors or funding rounds.

SA

Stock corporation

Designed for larger operations, with stricter capital and corporate governance requirements.

EIRL

Individual limited liability company

Lets an individual separate personal assets from the business without needing partners.

Usual process

1

Trade name registration with ONAPI

2

Drafting of bylaws and incorporation minutes

3

Payment of incorporation tax at the DGII

4

Registration with the Chamber of Commerce

5

Tax ID (RNC) and tax registration

6

Foreign investment registration with ProDominicana

Indicative timeline: three to six weeks, depending on the foreign partner's documents (apostilles and translations).

Residency by investment

The General Directorate of Migration offers residency routes designed for investors and people with income from abroad. These are the ones our clients use most.

Investor

US\$200,000

Minimum investment in the country, supported by the foreign investment registration certificate.

Rentier

US\$2,000 / month

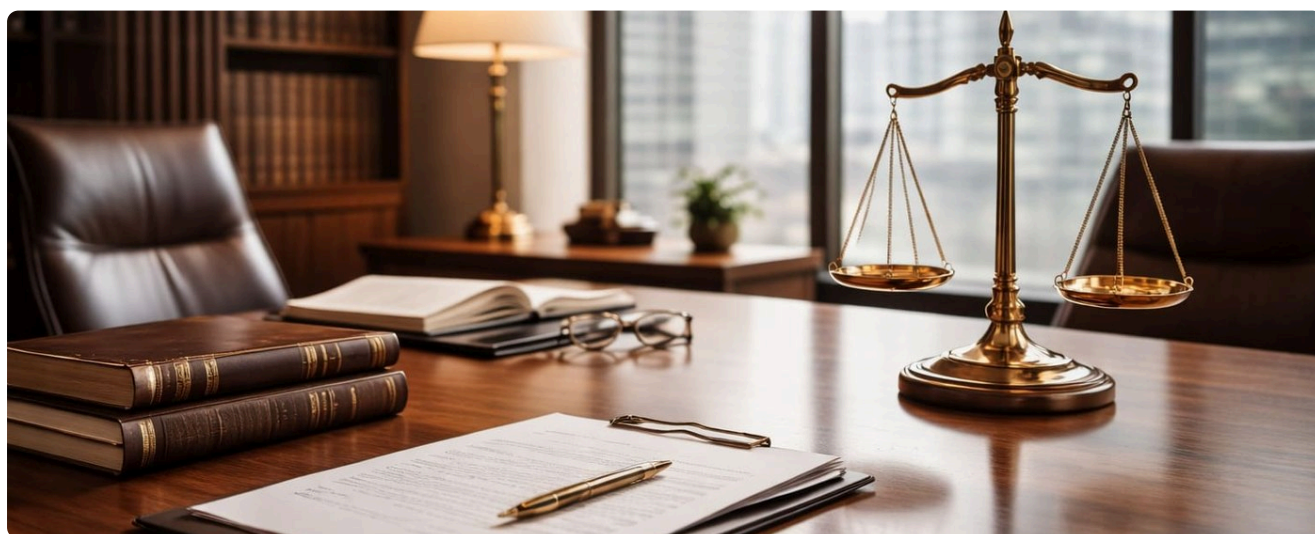
Stable income from a foreign source, backed by documents.

Retiree

US\$1,500 / month

Pension from abroad, plus US\$250 per month for each dependent.

- ☐ The application starts online on the Migration portal and is completed by lodging original documents in Santo Domingo.
- ☐ The official processing time is around 45 business days once the file is complete.
- ☐ Foreign documents must be apostilled and, where required, translated into Spanish.
- ☐ Residency must be renewed on time; losing it through an oversight is one of the most common mistakes.



Amounts as published by the General Directorate of Migration, September 2026.

Mistakes to avoid



Paying before checking the title

A deposit or down payment made without a Title Registry search is the most frequent cause of losses.



Relying on generic contracts

A contract without penalties, deadlines or guarantees leaves the buyer with no tools if the seller defaults.



Choosing the wrong structure

Buying personally or through a company has different tax and estate consequences. Decide before you sign.



Buying without a survey

A property without an approved survey (deslinde) can lead to boundary disputes and make it harder to sell or finance.



Assuming CONFOTUR applies

Not every unit in a tourism project is classified, and resales do not inherit the exemption.



Using an agent without proper authority

A power of attorney must set out precise powers and be apostilled and certified to be valid before notaries and registries.

Checklist before you sign

- ✓ Recent original Certificate of Title and legal status certificate
- ✓ Seller's identity and legal capacity
- ✓ Approved survey and cadastral plan
- ✓ Property taxes and HOA fees up to date
- ✓ Project permits and trust agreement, if applicable
- ✓ Full calculation of taxes and closing costs

Why Cabinet Legal

We are a Dominican firm with partners and an excellent team of lawyers organized by practice area. We work with foreign investors from the first consultation to the final registration.

2009	100%	12	3
Year founded	Remote by power of attorney	Practice areas	Languages: Spanish, English and French

Direct partner attention

Your matter is led by a partner, not an intermediary.

Remote transactions

You can buy, incorporate or start your residency through a power of attorney, without travelling.

Technical verification

We work with Land Consulting DR on the technical and registry review of every property.

Follow-through to the end

We follow up with the DGII, Title Registry, ONAPI and Migration until each process is closed.



Aileen Espinosa
MANAGING PARTNER

Corporate law, business structuring, trademarks and intellectual property.



Ellis Beato
FOUNDING PARTNER

Business law, litigation and dispute resolution.

CABINET LEGAL

Let's talk about your investment

Tell us what you plan to do in the Dominican Republic. A partner will review your case and explain the steps, timeline and cost before we begin.

WEB

cabinetlegal.com.do/en/consulta

EMAIL

info@cabinetlegal.com.do

WHATSAPP

+1 829 542 0615

OFFICE

Av. Pedro Henríquez Ureña No. 138, Torre
Empresarial Reyna II, Suite 203, La Esperilla,
Santo Domingo

BY APPOINTMENT ONLY

